

Colo. Lic. Paraprofe. R. Profe. Cond. 5.4

Rule 5.4 - Professional Independence of an LLP

(a) An LLP or firm shall not share legal fees with an individual who is not a lawyer or an LLP, except that:

(1) an agreement by an LLP with the LLP's firm, partner, or associate may provide for the payment of money, over a reasonable period of time after the LLP's death, to the LLP's estate or to one or more specified persons;

(2) an LLP who undertakes to complete unfinished legal business of a deceased LLP may pay to the estate of the deceased LLP that proportion of the total compensation which fairly represents the services rendered by the deceased LLP;

(3) an LLP who purchases the practice of a deceased, disabled, or disappeared LLP may, pursuant to the provisions of Rule 1.17, pay to the estate or other representative of that LLP the agreed-upon purchase price;

(4) an LLP or firm without lawyers may include employees who are not LLPs in a compensation or retirement plan, even though the plan is based in whole or in part on a profit-sharing arrangement, provided the plan does not otherwise violate these rules; and

(5) an LLP may share court-awarded legal fees with a nonprofit organization that employed, retained or recommended employment of the LLP in the matter.

(b) An LLP shall not form a partnership with an individual who is not a lawyer or an LLP if any of the activities of the partnership consist of the practice of law.

(c) An LLP shall not permit a person who recommends, employs, or pays the LLP to render legal services for another to direct or regulate the LLP's professional judgment in rendering such legal services.

(d) An LLP shall not practice with or in the form of a professional company that is authorized to practice law for a profit, if:

(1) An individual who is not a lawyer or an LLP owns any interest therein, except that a fiduciary representative of the estate of a lawyer or an LLP may hold the stock or interest of the lawyer for a reasonable time during administration; or

(2) An individual who is not a lawyer or an LLP has the right to direct or control the professional judgment of an LLP.

(e) An LLP shall not practice with or in the form of a professional company that is authorized to practice law for a profit except in compliance with C.R.C.P. 265.

(f) For purposes of this Rule, an individual who is not a lawyer or an LLP includes (1) a lawyer or LLP who has been disbarred, (2) a lawyer or LLP who has been suspended and who must petition for reinstatement, (3) a lawyer or LLP who is subject to an interim suspension pursuant to C.R.C.P. 242.22, (4) a lawyer or LLP who is on inactive status pursuant to C.R.C.P. 207(A)(6) or 227(A)(6), (5) a lawyer or LLP who has been permitted

to resign under C.R.C.P. 207(A)(8) or 227(A)(8), or (6) a lawyer or LLP who, for a period of six months or more, has been (i) on disability inactive status pursuant to C.R.C.P. 243.6 or (ii) suspended pursuant to C.R.C.P. 207(A)(4), 227(A)(4), 242.23, 242.24, or 260.6.

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Amended and Adopted by the Court, En Banc, April 13, 2023, effective 7/1/2023.
